

CHAPTER 30

Stock Dividends

DISTRIBUTIONS MADE in the form of stock instead of cash are of two kinds, which may be called *extraordinary* and *periodic*. An extraordinary stock dividend may be defined as one that capitalizes part of the accumulated surplus of past years; *i.e.*, it transfers a substantial amount from the accumulated surplus to stated capital and gives the stockholders additional shares to represent the funds thus transferred.

A periodic stock dividend may be defined as one that capitalizes part of only the *current year's* earnings. Hence it is almost always of relatively small size. It is called periodic because such dividends are usually repeated over a number of years in accordance with an established policy.

EXTRAORDINARY STOCK DIVIDENDS

Extraordinary stock dividends are legal and legitimate, but by and large they produce unfortunate effects. The only reason for such a dividend that is at once sound and practical is that it will adjust the market price of the shares to a more convenient level. Widespread public interest and an active market are desirable attributes of a common stock, and these are diminished when the normal price range has advanced to such a high figure as, say, \$300 or \$400 per share. Hence an increase in the number of shares and the reduction in value of each share, by means of a large stock dividend, would be a logical step to take.

Example: In 1917 Bethlehem Steel stock was selling above \$500 per share. A stock dividend of 200% was paid (and additional shares were sold at par) bringing the market price down to about 150.

Split-Ups. Exactly the same result may be obtained by reducing the par value of the shares, such a move being referred to familiarly as a “splitup.” During the bull market of the 1920s reductions in par value were much more frequent than large stock dividends on stocks with par value,